

merchants are used to traditional forms of marketing such as radio, print, outdoor, direct marketing. In all such cases, a cost is borne not knowing how much of it is going to come back. On our web site, merchants get access to millions of customers in a single day, at no cost. The cost is only borne per transaction – by which time the merchant has a guaranteed customer.”

Selecting the right deals

Selecting the right kinds of deals is critical to keep the consumers happy. There is no point featuring a deal that will have no connect with the consumers. It is also very important to get the credentials of the merchant verified before putting up a deal on your site. “We have a strict evaluation process. We have a team of about seven people who evaluate every

little detail of the offer and the service. We verify the merchant and verify that he is offering genuine services. There have been times, when our team has walked away due to inferior quality in services from certain merchants. Ultimately these are our customers, and we do not want them to have any bad experience,” says Farooqui. Majority of the other players use a similar strategy, with over 50 per cent deals being decided after the site has personally approached the merchant.

The discount percentages on offer are decided upon after there has been a mutual back and forth between the deal site and the merchant. Crazeal makes use of Groupon’s massive intellectual property on how deals should be structured. According to Warikoo there are three key things to consider: it should help solve a business problem for the merchant; pricing has to be attractive for the end consumer and capacity planning should be considered, so that the site does not end overselling an offer. “We do a stringent quality check where we experience the deal ourselves before offering the same to our consumers. As a matter of fact we often do ghost shopping just to evaluate the entire experience with the merchant,” he says.

Farooqui has a team of specialists who know the industry benchmark costs of particular services. “Let’s say you want to get a hair straightening done at an upmarket salon and it is priced at ₹2,000. Now we know that the actual cost to the merchant is ₹800, thanks to the experts in our company who have the knowledge of that particular market. So we negotiate for an offer of say ₹1,000. So the final pricing is arrived after a mutual consultation.

“Also deal web sites have data to backup their discount suggestions, so merchants have to take that into consideration as well.”



“We try and do some analytics as to how many customers saw this deal, how many customers abandoned this card, how many went ahead with the transaction. And we have an algorithm which takes all this into account and then we decide which deals go on the front page”

– Faisal Farooqui
CEO, Dealface.in

Other options to find deals

Forum deals

Another interesting way to sell off products is via forums. Our very own Thinkdigit forum has a section called Bazaar where users can buy or sell products at discounted prices. While most of the time it is the users of the forums who put up sales, many a times, you will find product companies or distributors offering discounted sales provided a certain number of users show interest in buying the product.

Deal-site aggregator

Just like news aggregators, which basically drive traffic to the original source, there are deal-site aggregators as well. The funda of these sites is very simple: they will aggregate the best deals of that day and put them up on their site’s front page. Some sites such as Desidime.com have a completely user-drive approach to such sites. “As it’s a community based bargain hunting site, users post the best of deals in our forums. Other users vote and comment on such deals. The very best are suggested by the users as Front Page Deals by sending us an alert which is very transparent and visible to the entire community. Our team then reviews such deal alerts and cherry picks them and they get featured on our home page,” says Jimish Jobanputra of Desidime.com. None of the payments happen on the site aggregator, instead users are directed to the actual deal site. The business model of such sites is based on performance marketing and they also help in negotiating exclusive deals for their entire community.

Payments

Where deal sites are concerned, you are looking at two kinds of payments: Payments by the end consumer to the service provider and payments from the merchants to the deal site. Most of the sites do not charge customers to register.

“As far as Khojguru is concerned, the consumer does not have to pay anything upfront. The whole payment is made by the consumer to the service provider. We then collect our part from the service provider,” says Aggarwal.

With other sites such as Dealface, it is the other way round. “As soon as you enter your card or banking details, you will immediately get a payment transaction confirmation. You will be charged. You will also get an SMS – an alphanumeric coupon. You show that to the merchant who will verify it, only then will there be a successful transaction,” says Farooqui. So you do not have to pay the merchant.

Crazeal employs a similar pay-first model. It also assigns Partner Service Managers (PSM) to each merchant